



Case

The role of a management controller in the strategy of an environmentally-responsible industrial company

This case was written by Melinda CHEHIMI, Assistant Professor at Montpellier Business School. It is intended to serve as a basis for class discussion and to illustrate the importance of controlling for effective management. The case study is not based on a real company but is inspired by real situations.

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Graphart: An industrial, environmentally-responsible company

Graphart is an industrial company specializing in the manufacture and sale of home interior items. These items become particularly sought after during festive seasons as they enhance the warm, festive ambiance in homes. The company has a strong devotion to corporate social responsibility (CSR), evidenced by several years of steadfast policy development. Consequently, their choices of materials, suppliers, and partners are made with exceptional care. The company's robust reputation in the market echoes its image of quality and customer proximity. Graphart is based in a southern region of France, situated in an industrial area comprised of other companies that share a similar commitment to responsible business practices.

The company is comprised of several departments: General Management, Human Resources, Finance and Accounting, Research and Development, Sales and Marketing, Purchasing, Production, and Warehousing. Each department is staffed with a manager and several employees.

Management controller: A tool for strategic decision-making

As a management controller for the company, you work within the Finance and Accounting department. Your primary responsibilities include sales forecasting, analyzing production variances, managing supply, planning internal processes, tracking and validating expense reports, monitoring budgets, calculating and monitoring production costs, determining sales prices, margin analysis, and other ad hoc tasks.

It is the final quarter of 2023. Preparations for 2024 have begun, focusing on budgeting, sales forecasting, purchasing raw materials, and production planning. Your manager has requested that you evaluate the performance of two of the company's products, the Wood product and the Green product.

Following extensive research and interviews within the company, data was collected from both managers and employees. After transforming this data into a usable format, the performance of the company's products was calculated and analyzed (Appendix 1). The meetings also provided additional valuable information for the analysis (Appendix 2).

Your task: Based on your analysis, what strategic decisions would you make for the Wood and Green products?

APPENDIXES

Appendix 1. Management controller's quantitative data

Purchases for the activity:

- 49,500 kg of raw material 1 at €2.90 per kg
- 28,000 kg of raw material 2 at €1.90 per kg

Production for the period:

- 19,000 Wood products
- 16,500 Green products

Total indirect expenses for the period amounted to €196,550 distributed among the company's three centers: purchasing, production, and distribution.

The sales:

- 21,000 Wood products at a unit price of €12.10
- 18,000 Green products at a unit price of €14.90

Activities and resources of the purchasing center:

- Supplier search and qualification: €3,650
- Materials management: €69,000

Activities and resources of the production center:

- Production planning and control: €17,000
- Machining of products: €14,000
- Packaging: €20,000

Activities and resources of the distribution center:

- Shipping products: €68,000
- Commercial follow-up of clients: €3,100
- Sale promotion: €1,800

It is recommended that you focus on the following key drivers to guide your analyses:

- Supplier search and qualification: Contacted supplier
- Materials management: Kg of purchased raw material
- Production planning and control: Production launches
- Machining of products: Machine hours
- Packaging: Manufactured units
- Shipping of products: Manufactured units
- Commercial follow-up of customers: Visited clients
- Point of sale promotion: New models launched

Key driver quantities for the Wood/Green products:

- Supplier search and qualification: 4/3
- Materials management: 49,500/28,000
- Production planning and control: 9/6

- Machining of products: 69/48
- Packaging: 19,000/16,500
- Shipping of products: 19,000/16,500
- Commercial follow-up of customers: 9/7
- Point of sale promotion: 2/4

Production direct charges:

- Wood Product: €36,500
- Green Product: €24,100

Distribution direct charges:

- Wood Product: 9% of turnover
- Green Product: 9% of turnover

Please note that there are no direct expenses for purchases. Also, remember that there was no inventory at the start of the period.

Appendix 2. Management controller's qualitative data

In discussions with both managers and employees, you uncover a problem in the production department. A machine integral to the manufacture of the Wood products is antiquated and requires regular repairs. Despite this, the director wishes to retain it due to a preference for traditional models, which are perceived as more durable and efficient.

In the supply department, there's a problem with a key supplier. The supplier has raised prices to maintain the quality of raw materials 1 and 2. The director must decide whether to accept this change or search for a new supplier. A decision has not yet been made. Your analysis could potentially assist with the decision-making process.

The target analysis results were €3.05 for the Wood product and €4.95 for the Green product.